

not make money. Is that true? Absolutely not.”

Remember Bezos’s first shareholder letter in 1997. He emphasized return on invested capital and investing for the future. One way Amazon does this is by spending a lot on research and development — which is a form of investment.

“I went through Amazon’s historical results,” Thompson wrote. “Which, by the way, are fantastic. Sales have grown at a compounded annual rate of over 40% since the [sic] 1997.”

So here, again, we see those important ingredients: growth, growth and more growth!

“Looking at Amazon’s reported operating income, it doesn’t look profitable,” Thompson continues. “On \$88 billion in 2014 sales, Amazon earned a measly \$178 million in operating income. That’s a razor-thin 0.20% operating margin.

“Adding back R&D, however, paints a completely different picture. In 2014, Amazon spent \$9.2 billion on R&D. Adding that back to operating income, Amazon generated adjusted operating income of \$9.4 billion in 2014. That’s an operating margin of 10.6%.

“Very impressive. And what’s even more impressive is how consistent this trend is.”

Thompson created the table on the next page.

Adding back R&D may sound crazy, but the point is to think of R&D as an investment in this case. (There is a long history of debate in accounting circles about how to treat R&D. Should it be expensed against sales? Or should it be capitalized on the balance sheet like property and depreciated — or amortized — over time in bits?)

	1996	1997	1998	1999	2000	2001	2002
Sales	\$15.75	\$148	\$609	\$1,639	\$2,761	\$3,122	\$3,933
Growth (%)		838.06%	312.30%	189.13%	68.45%	13.07%	25.98%
Operating Income	-6	-32	-109	-605	-863	-412	64
Operating Income (%)	-38.10%	-21.66%	-17.90%	-36.91%	-31.26%	-13.20%	1.63%
Plus: R&D	2	13	46	159	269	241	216
Adj. EBIT	-4	-19	-63	-446	-594	-171	279
Adj. Operating Income (%)	-25.40%	-12.86%	-10.34%	-27.21%	-21.51%	-5.46%	-7.09%